

**IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF
SRI LANKA**

*In the matter of an Appeal by way of
Stated Case on a question of law for
the opinion of the Court of Appeal
under and in terms of Section 11A of
the Tax Appeals Commission Act No.
23 and 2011 (as amended).*

CA Case No. CA/TAX/217/2024

Tax Appeals Commission No.

TAC/NBT/36/2022

Commissioner General of Inland
Revenue,
Department of Inland Revenue,
Sir Chittampalam A. Gardiner
Mawatha,
Colombo 02.

APPELLANT

Vs.

Sri Lanka Insurance Corporation
Limited,
No. 21, Vauxhall Street,
Colombo 02.

RESPONDENT

Before: M.C.B.S. Morais, J.

Dr. D. F. H. Gunawardhana, J.

Counsel:

Manohara Jayasinghe, D.S.G., with Rajika Aluwihare, S.C. for the Appellant.

Nihal Fernando, P.C. with Harshula Seneviratne instructed by Manjula Jayathilake for
the Respondent.

Argued on: 03.07.2026

Delivered on: 02.09.2026

Judgement

Introduction

The Appellant in this case is the Commissioner General of Inland Revenue (hereinafter sometimes referred to as “Appellant” or the “CGIR”), and the Respondent is the Insurance Corporation of Sri Lanka (hereinafter sometimes referred to as “Assessee” or the “Respondent”); the period concerned is between 01.07.2017 to 30.09.2017 (the quarterly return furnished by the Respondent), and the Assessor has rejected the said return. Consequently, an assessment was issued charging National Building Tax (hereinafter referred to as “NBT”) on the Respondent. Thereafter, the Respondent has lodged an appeal against the said assessment to the CGIR; however, the Commissioner General, the Appellant, has made a determination against the Respondent and confirmed the assessment; the said determination was made on 22.06.2022, which is reflected in the document marked as **X** in the Case Brief.

Thereafter, being aggrieved by the said determination which was made by the Appellant, the Respondent has appealed to the Tax Appeal Commission (hereinafter referred to as the “TAC”), by the appeal dated 16.09.2022; the said appeal is marked as **X1** in the Case Brief. Further, the TAC, after considering the appeal and submissions made by way of written submissions, made the determination dated 23.07.2024 allowing the appeal.

Thereafter, being aggrieved by the said determination of the TAC, the CGIR has appealed and caused the TAC for a case to be stated, and according to the case stated, TAC has raised the following questions of Law;

1. Whether the Tax Appeals Commission has erred in law in determining that, the taxpayer is not liable to pay Nation Building Tax on financial services under Section 3

of the Nation Building Tax Act, No. 9 of 2009 read with Section 25A(1) of the Value Added Tax Act No. 14 of 2002 (as amended)?

2. Whether the Tax Appeals Commission has erred in law in determining that, the income from life insurance business is not in any event earned by the company in carrying on the business of supply of financial services under Section 25F of the Value Added Tax Act No. 14 of 2002 (as amended)?
3. In view of the facts and circumstances of the case, did the Tax Appeals Commission err in law when it came to the conclusion that it did?

This was argued before my brother Justice Morais and me on 03.07.2026, and the following arguments were advanced by the respective counsel.

In addition to that, the respective parties have filed their Written Submissions as well.

Arguments

The thrust of the main argument advanced by Mr. Manohara Jayasinghe is that insurance is a service provided by an insurer and is liable to pay the NBT on its turnover. Therefore, it is distinguishable from Section 25F of the Value Added Tax Act No. 14 of 2002 (as amended) (hereinafter referred to as the "VAT Act").

On the other hand, Mr. Fernando argued that the premium of life insurance collected by an insurer cannot be considered as income or turnover because everything has to be deposited in the insurance fund. Therefore, even to service or maintain such a fund, the insurer has to invest those funds as directed by the Regulator in accordance with the Regulations of Insurance Industry Act governing the insurance business.

Further explaining, Mr. Fernando contended that the insurer cannot invest in highly profitable investments, such as the share market, because if the share market crashes, the insurer will lose the fund which he holds only to indemnify the assured in case of exigency covered by the life

insurance, or on maturity with the bonus which the insurer has to pay back. Therefore, he has to find the bonus without keeping the premia in the funds; therefore, he has to invest in profitable ventures but as regulated by the insurer, to earn returns not only to pay the bonus but also to maintain the fund. Therefore, this is the reason why insurance is accepted.

Therefore, life insurance funds can only be invested in secure investments, such as Treasury Bonds and Sovereign Bonds. Consequently, the profits earned from Treasury Bonds or Sovereign Bonds cannot be taken as a business or turnover, because it is only out of such investments, upon maturity, that the insurance claims and benefits are paid. Therefore, life insurance is taken out of the application of the NBT.

In reply, Mr. Jayasinghe argued that the word “a service of any description” in Section 2(1)(c) of the Nation Building Tax Act encompasses the side business carried on by the insurer, which may not necessarily be the business of life insurance, but includes other investments made out of the funds.

In respect of the above circumstances, I will first consider the Question (ii) because that will decide the main issue.

Question (ii) - Tax Treatment of Life Insurance Premiums and Investment Income

The second question is whether the Tax Appeals Commission has erred in determining that the life insurer is not liable to income tax, NBT, as well as VAT.

In the course of the arguments, it has, in fact, been conceded on behalf of the Appellant by Mr. Jayasinghe, in the written submissions, that the life insurance premia received by the life insurer are not liable to Income Tax, VAT, or NBT.

Nevertheless, he argues that when such a life insurer invests the premia received in the insurance fund, in some other service, whether by way of investing in sovereign bonds, treasury

bonds, or any other investment as provided by law, the income derived from such investment is liable not only to Income Tax but also to NBT. Therefore, to that extent, the TAC has erred.

However, on the other hand, elaborating on the submissions advanced by Mr. Fernando, his arguments in the written submissions are that the business of insurance is a very well-regulated business in Sri Lanka and, particularly, after the segregation of the insurance business by the Regulations of Insurance Industry (Amendment) Act, No. 3 of 2011.

Further, he argued that the premia received under general insurance by an insurer are not only liable to turnover tax but are also liable to income tax, value-added tax, and also to NBT as there is a service provided.

However, he distinguishes the premia received by a general insurer from those received by a life insurer, where the life insurer only receives premia into a fund, and once the premia are received by the insurer funds, so received is then invested as provided by law, because life insurance, particularly, is well regulated.

He further argues that life insurer is required to invest such money as he is required to pay back the assured towards the end of the period or on the maturity. Hence, such life insurer has to pay back the assured sum on the maturity of the policy. If any exigency takes place, the insurer has to indemnify the assured or the beneficiaries, as the case may be. Moreover, in the statutory law, life insurance is defined as long-term insurance, and it is different from general insurance.

Therefore, I will now have to consider whether premia so received by a life insurer and, in turn, when such premia are invested as required by or provided by law in sovereign bonds, treasury bills, or by any other means, the income derived from such investment is liable to income tax, NBT, or value-added tax which falls within Section 25F of the Value Added Tax Act, No. 14 of 2002 (as amended).

As argued by Mr. Fernando, the insurance industry is regulated by the Regulations of Insurance Industry Act, No. 43 of 2000 (as amended). By the amendment introduced in 2011, the business of 'life insurance' and 'general insurance' were segregated; however, even prior to the regulation of the industry by the Amendment Act No. 3 of 2011, the insurance industry was existing in Sri Lanka as a business, and was basically based on English law, because the law of insurance was developed under English law. Thus, up until the year 2011, insurers were permitted to engage in general insurance or life insurance; hence, there was no specification or speciality.

Therefore, in order to further regulate the business of insurance, the Legislature decided to segregate the business into 'life insurance' and 'general insurance', and 'life insurance' is defined as long-term insurance, whilst the other insurance is defined as insurance for a limited period (short-term insurance) or based on certain contingencies that may take place. Thus, a salient feature of general insurance is that the contract of insurance needs to be renewed periodically, or it is contracted to cover a periodically issued short-term insurance or certain event.

However, life insurance is termed as a 'long-term insurance' specifically because it is expected to operate for a longer period and the insurance policy operates over such period.

For the purpose of maintaining the policy alive, from time-to-time, the premia is received by the insurer from the assured and, as ably argued by Mr. Fernando, such insurer who is engaged in life insurance has to pay back the assured on maturity sum with other benefits such as bonuses; or when an exigency such as an accident or injury takes place, or in the case of death, to the beneficiary. For that purpose, the insurer has to earn.

Therefore, the life insurer has to earn and generate income from the premia received which is to be paid in the future to the assured or beneficiary, as the case may be, either on maturity or when the exigency takes place.

Therefore, it is provided in the Regulation of Insurance Industry Act that life insurance, being a long-term insurance, requires such long-term insurer to invest such money in long-term bonds or investments with certainty to receive or generate income. In addition to that, life insurance is not permitted to invest such money in any other high-risk profitable investment business, like the share market, where there is a certain degree of uncertainty due to the fluctuations of the market depending on demand. Therefore, the regulations permit such a life insurer to invest such money only in 'treasury bonds' or 'sovereign bonds' because of the certainty that the benefits on maturity will be received by the investor, namely, the life insurer that collected the premia from the assured. Thereby, on investing in treasury bonds or sovereign bonds, the life insurer receives the invested money together with the bonus or interest (depending on the terms of the treasury bond or sovereign bond). Thus, the insurer is able to pay the assured sum on maturity and maintain the insurance fund and the service.

Now, the question arises whether such investment is liable to income tax. As argued by Mr. Jayasinghe, if such income is liable to income tax or any other tax, particularly value-added tax, as being considered as a service which falls within Section 25F of the VAT Act, then the earning or the generation of money is affected. With that, the beneficiary, in turn, will also be affected, and finally, the life insurer has to bear the resulting degree of loss.

As such, that, in turn, affects the life insurance business. Therefore, it is provided that not only the premia received by the life insurer are exempted from tax, but also the gains generated by investments are exempted from any tax.

As such, the second question is answered in the negative.

Question (i) - NBT Liability on Income Derived from the Investment in Financial Services

The next question is whether the Respondent-Assessee is liable to pay NBT on the income derived from the investment in financial services.

The liability of paying NBT is provided for in Section 2, which says thus;

2. (1) The provisions of this Act shall apply to every person who -

(a) imports of any article, other than any article comprised in the personal baggage of the passenger, into Sri Lanka, ["baggage" shall have the same meaning as in section 107A of the Customs Ordinance (Chapter 235)]; or

(b) carries on the business of manufacture of any article; or

(c) carries on the business of providing a service of any description

(d) carries on the business of wholesale or retail sale of any article other than such sale by the manufacturer of that article being a manufacturer to whom the provisions of paragraph (b) applies.

Section 3 provides the NBT charging section by which it refers to how the NBT is charged.

*3. (1) (ii) in the case of a person referred to in paragraph (b), (c), or (d) of subsection (1) of section 2, for every quarter commencing on or after January 1, 2009 (hereinafter referred to as “relevant quarter”, the tax shall be chargeable in respect of the **liable turnover of such person for such relevant quarter.***

*(2) In this section “**liable turnover**”*

(i) with reference to any person referred to in paragraph (a) of subsection (1) of section 2 arising from the importation of any article, means the value of that article ascertained for the purpose of Value Added Tax under section 6 of the Value Added Tax Act, No.

14 of 2002, but does not include the value of any excepted article referred to in the First Schedule to this Act;

(ii) with reference to any person and to any relevant quarter referred to in paragraph (b) of subsection (1) of section 2, means the sum receivable whether received or not from the sale in Sri Lanka, in that quarter, of every article manufactured by such person, other than any excepted article referred to in the First Schedule to this Act;

*(iii) **with reference to any person referred to in paragraph (c) of subsection (1) of section 2 and to any relevant quarter means the sum receivable, **whether received** or not, from the provision in Sri Lanka of **any service referred to in that paragraph** other than any excepted service referred to in the First Schedule to this Act;***

(iv) with reference to any person referred to in paragraph (d) of subsection (1) of section 2 and to any relevant quarter means the sum receivable whether received or not from the sale in that quarter, of any article, other than—

[Emphasis is mine]

It is stated therein that Section 3(2) attracts **Section 25A** of the VAT Act as financial service does not exclude it from the First Schedule. Therefore, it is very clear that Sections 2 and 3 of the NBT Act have to be read along with Section 25A of the VAT Act because any value addition made by the Assessee is liable to be paid.

In these circumstances, we will need to see what the value addition contributed by the Respondent-Assessee is, as argued for and on behalf of the Appellant (the CGIR), and falls within Section 25F of the VAT Act.

According to the Written Submissions filed by Mr. Jayasinghe, here the value addition is not the supply of the service of insurance, but the financial service that is supplied by the insurer

from and out of the premia received in the insurance fund, and in turn when the same is invested in sovereign bonds or treasury bills, the income derived from that is liable to NBT.

Accordingly, Mr. Jayasinghe relies upon Section 3(4)(iii) of the NBT Act, which reads thus;

(4) Notwithstanding the provisions of subsection (1), the tax shall not be chargeable from any person referred to in paragraph (b), paragraph (c) or paragraph (d) of subsection (1) of section 2, for any relevant quarter if - ...

(iii) the liable turnover of such person from the supply of any goods or services other than services referred to in paragraph (iv) and which does not exceeds—

(a) the sum of five hundred thousand rupees if such relevant quarter is any quarter commencing on or after January 1, 2011 but prior to January 1, 2013; and

(b) the sum of three million rupees if such relevant quarter is any quarter commencing on or after January 1, 2013;

However, to consider whether the income derived from the investment in sovereign bonds and treasury bills falls within Section 25F of the VAT Act, namely, as financial services.

Question (iii) - Whether Investment effected from Insurance Fund Constitute a Financial Service

Now, the next question that arises for my consideration is whether the services provided by a life insurer in that sense, falls within a financial service in terms of **Section 25A** read with **Section 25F** of the VAT Act; if it is in the affirmative, then the life insurer is liable to pay NBT.

It is very clear from the plain reading of the Act that a life insurer is exempted from the charging of NBT for the simple reason that the supply of service of life insurance is exempted in Part 2 of the Second Schedule of the Act itself. Therefore, Mr. Jayasinghe conceded that the collection

and receipt of the premia is not liable to NBT. However, the income generated by investing such premia in turn in sovereign bonds or treasury bills is liable to NBT. Therefore, the CGIR is not justified in confirming the assessment made by the Assessee.

However, it must be borne in mind that, as argued by Mr. Fernando, a life insurer is required to invest the insurance funds received as premia only in regulated investments, where there is a reasonable degree of certainty of recovering the capital invested together with interest or other profits. Therefore, such investments are required to maintain the insurance fund and to ensure the payment of the assured sum when it becomes due. Nevertheless, an insurer is not expected to invest insurance funds in high-risk, albeit potentially highly profitable, ventures such as the share market, where fluctuations in prices, driven by forces of demand and supply, may result in market crashes and substantial losses.

Therefore, the income generated from such investments is utilised not as income, but as money that is needed for the maintenance of the fund itself and the service of insurance, including the charges and employees who handle the life insurance business. In addition to that, such income generated from such investments has to be refunded one day on maturity of the life interest policy of the assured, if he lives up until the maturity, or if some exigency takes place, namely, if the death of the assured occurs, the insurer is liable to pay the beneficiary(s) of the assured along with the relevant bonus and interests as the contract requires.

Thus, the premia received by the life insurer as insurance funds should not be liable to tax as conceded by the CGIR; and the income generated after investing the said money also cannot be subject to VAT as life insurance cannot be treated in that sense because it is an exempted service under the Act and does not fall within Section 25G or 25F, and consequently Section 25A of the VAT Act. This is clearly illustrated and enunciated in the proposition of law by His

Lordship Justice Ruwan Fernando in the case of *Sri Lanka Insurance Corporation v. CGIR*.¹

Therefore, following the same case, it is my view that the TAC is justified in arriving at the decision that the Respondent-Assessee is not liable to pay NBT for the relevant period for the premia received by the Respondent-Assessee as the Insurer, or income generated by investing the said funds in treasury bills or other relevant bonds as the case may be.

Accordingly, I answered the questions based in the case stated as follows;

Question (i) - Negative

Question (ii) - Negative

Question (iii) - Negative

Conclusion

For the reasons adumbrated above, this Appeal is dismissed without costs.

JUDGE OF THE COURT OF APPEAL

M.C.B.S. Morais, J.

I agree.

JUDGE OF THE COURT OF APPEAL

¹ CA/TAX/19/2019 (CA Minutes 03.05.2023).